Amazon.com, Inc. is a global technology and e-commerce leader, founded in 1994 by Jeff Bezos. Amazon started as an online bookstore but now has evolved into a multi-trillion-dollar enterprise with a market capitalization of $2.39 trillion as of December 2024. While its e-commerce platform remains a cornerstone, Amazon has significantly diversified its operations. A substantial portion of its investments is directed toward artificial intelligence technologies, powering the personalization of the algorithms that enhance customer experiences. Additionally, Amazon Web Services (AWS), the company's cloud computing arm, has become a global leader, driving a significant share of the company's profits and shaping the future of enterprise IT. Amazon has also ventured into advanced logistics with autonomous delivery systems, including drones, and maintains a growing presence in the physical retail sector with innovations such as cashier-less Amazon Go stores.

This report shows growth estimates for Amazon.com Inc., based on macroeconomic and business assumptions.

Summary

	2021	**2022**	**2023**	**2024E**	**2025E**	**2026E**	**2027E**	**2028E**
Income Statement								
Revenue	469,822	513,983	574,785	638,043	701,357	766,882	839,695	920,708
Gross Profit	197,478	225,152	270,046	311,074	336,651	375,772	419,848	469,561
EBITDA	73,945	37,363	86,453	115,374	133,194	157,978	172,977	194,269
Operating Income	24,879	12,248	36,852	65,238	73,642	79,756	83,130	91,150
Net Income	33,364	-2,722	30,425	52,899	56,515	61,189	63,682	69,826
EPS	3.24	-0.27	2.90	4.94	5.22	5.59	5.75	6.24
Growth (% YoY)								
Revenue Growth	21.7%	9.4%	11.8%	11.0%	9.9%	9.3%	9.5%	9.6%
Gross Profit Growth	29.3%	14.0%	19.9%	15.2%	8.2%	11.6%	11.7%	11.8%
Operating Income Growth	8.6%	-50.8%	200.9%	77.0%	12.9%	8.3%	4.2%	9.6%
Net Income Growth	56.4%	-108.2%	1017.7%	73.9%	6.8%	8.3%	4.1%	9.6%
EPS Growth	55.0%	-108.2%	985.5%	70.2%	5.7%	7.1%	2.9%	8.5%

Table 1: Overview on past and future performances

1 Financial Analysis

1.1 Revenue and Net Income

Total revenue grew by 22.3% in 3 years, from $470 billion in 2021, $514 billion in 2022 to $575 billion in 2023. This significant growth was seen in key segments:

AWS: it benefited from the heightened demand for scalable cloud infrastructure, hosting, and computing services. Investment in generative AI capabilities like Trainium2 and Bedrock is expected to enforce AWS' position as a leader in the Cloud market.

Prime and Retail Innovations: efforts like regionalized fulfillment centers and same-day delivery aim to reduce costs and improve customer experience. Also, this led to an increase in the number of Prime subscriptions, which grew from 161.7 million in 2021 to 174.9 million in 2023 in the U.S. market.

Advertising: A 24% increase in adv revenue, reaching $47 billion in 2023, highlights a shift toward digital ads and streaming services

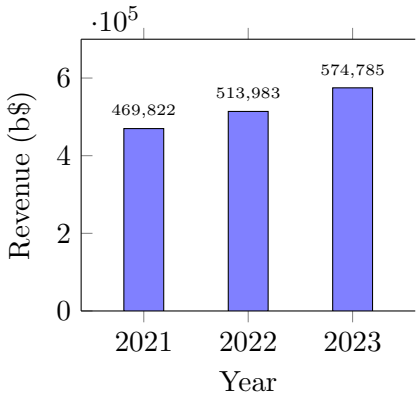

Figure 1: Revenue per Year

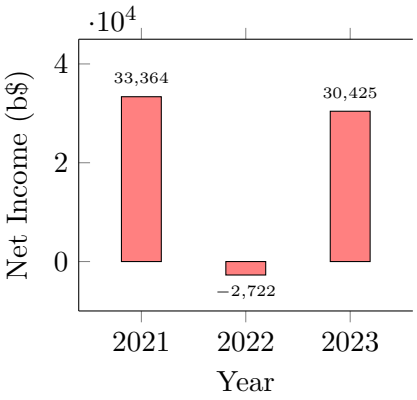

Figure 2: Net Income per Year

In 2022, Amazon had a huge loss of $12.7 billion due to its holdings in Rivian stock, which experienced a decline following its 2021 IPO. Amazon remains its largest shareholder, holding approximately 15%. Also, Amazon is invested in other AI-based companies which faced a significant downturn in 2022, like Aurora Innovation, which develops self-driving vehicle technologies, and Zoox, an autonomous vehicle startup.
In 2021 and 2022, Amazon made massive capital expenditures (CapEx) in fulfillment and logistics following the rapid expansion during the pandemic. However, in 2022, the company realized that it had over-expanded, leading to increased operating expenses. In 2023, Amazon stabilized its CapEx for both retail and AWS, and continued with workforce reductions. Also, inflation decreased to 4.1% in 2023, contributing to a more stable financial environment, as reflected in the company's financial statements.

1.2 Ratio Analysis

	2021	2022	2023	2024E	2025E	2026E	2027E	2028E
Liquidity Ratios								
Current Ratio	1.14	0.94	1.05	1.16	1.41	1.68	1.96	2.27
Quick Ratio	0.91	0.72	0.84	0.94	1.18	1.46	1.74	2.05
Profitability Ratios								
Gross Profit Margin	42.03%	43.81%	46.98%	48.75%	48.00%	49.00%	50.00%	51.00%
Net Profit Margin	7.10%	-0.53%	5.29%	8.29%	8.06%	7.98%	7.58%	7.58%
Return On Equity (ROE)	29.25%	-1.98%	17.81%	22.31%	18.92%	17.04%	15.10%	14.29%
Return On Invested Capital (ROIC)	16.05%	-0.80%	9.89%	14.03%	13.56%	12.67%	11.66%	11.35%
Leverage Ratios								
Degree of Operational Leverage	8.63%	-59.54%	16.09%	2.81%	2.00%	0.89%	0.46%	1.00%
Degree of Financial Leverage	1.21%	0.89%	0.85%	0.75%	1.03%	0.99%	0.94%	1.00%
Degree of Combined Leverage	10.44%	-52.83%	13.75%	2.10%	2.05%	0.89%	0.43%	1.00%
Debt-to-Equity Ratio	0.84%	0.96%	0.67%	0.51%	0.46%	0.40%	0.36%	0.33%

Table 2: Ratios

Liquidity Ratios:

- The current ratio shows the company's ability to meet its short-term obligations. The current ratio for Amazon is increasing gradually by 2028, indicating improving short-term liquidity over time.
- The quick ratio, which excludes inventory, follows a similar trend. This suggests the company is relying less on inventory to meet its short-term liabilities.

Profitability Ratios:

- The gross profit margin growth indicates improving pricing power and cost control.
- Net profit margin is stabilized around 8%, demonstrating strong bottom-line profitability.
- Return on equity (ROE) indicates that the growth in equity is higher than in net income, but still reflects efficient utilization of shareholder capital with a high ROE.
- Return on invested capital (ROIC) suggests the company is generating higher returns on its total invested capital.

Leverage Ratios:

- The degree of operational leverage in 2021 and 2023 showed a big variability of the EBIT in comparison to the revenue. For the next years, we estimate a more stable EBIT, indicating the company's operating costs are becoming more variable relative to fixed costs, following the industry average.
- The degree of financial leverage remains relatively stable and low, suggesting the company maintains a consistent capital structure, with a very low amount of debt.
- The degree of combined leverage decreases, reflecting the combined impact of operational and financial leverage.

1.3 Cash Flow

Amazon has shown a great capacity of generating positive cash flow from operating (CFO) activities along time and in 2023 the growth was massive, almost double of 2022. Their focus with this cash is always investing in new ways to follow their mission to make customers' lives better and easier every day. The cash flow from investing (CFI) declined in 2022 mostly due to economic downturns, however, increase again in 2023 showing that continues strategy to invest in new technologies, such as AI and autonomous delivery systems. Their strategy includes the global growth, in established countries, and emerging geographies (e.g. India, Brazil, Australia, Mexico, Middle East, Africa, etc.). Amazon has a small percentage of debt in their balance sheet, that is why the cash flow from financing (CFF) is lower relative to CFO and CFI. Further, Amazon's Free Cash Flow to Firm (FCFF) dramatically improved, mostly because of the massive growth in the CFO.

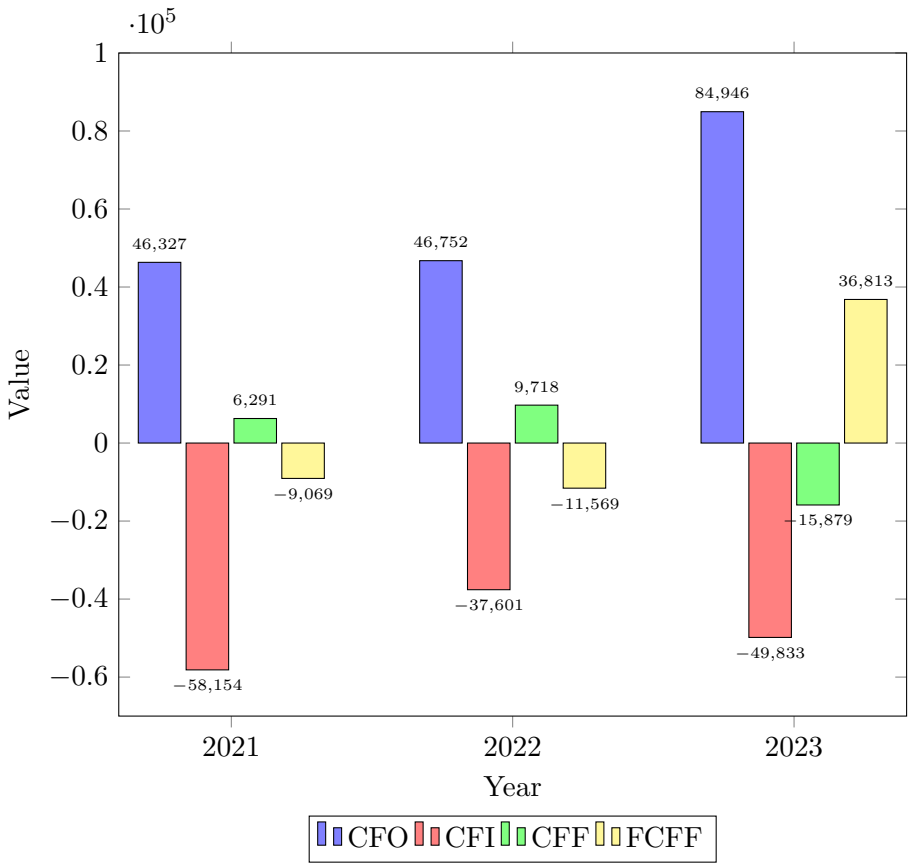

Figure 3: Cash Flow per Year

2 Assumptions

2.1 Macroeconomic Assumptions

The GDP growth during these years was shaped primarily by the recovery from the COVID-19 pandemic, which caused a sharp economic contraction in 2020. The 2021 GDP growth was driven by government stimulus packages, and a rebound in consumer spending, while 2022 and 2023 saw slower growth due to inflationary pressures, supply chain disruptions, and geopolitical tensions.
The unemployment rate trend is closely linked to the recovery process, with significant job losses in 2020 followed by strong gains in employment in 2021 as the economy reopened.
The PCE inflation rate, a key indicator of price stability, rose dramatically in 2022, because of supply chains, energy price increased, and labor shortages. The decline in 2023 can be attributed to the Federal Reserve's aggressive interest rate hikes.
Lastly, the Fed Funds Rate saw significant increases in 2022 and 2023 as the Federal Reserve acted to combat rising inflation.

Indicator (%)	**2021**	**2022**	**2023**
USA GDP Growth	5.80	1.94	2.54
Unemployment Rate	6.70	3.50	3.70
PCE Inflation	4.70	8.00	4.10
Fed Funds Rate	0.08	1.68	5.03

Table 3: Macroeconomic Indicators

2.2 Corporate Assumptions

For what concerns the corporate assumptions, we consider the following seasonal factors. Online sales are driven by major shopping events like Prime Day, Black Friday, and Christmas, significantly boosting revenue in Q3 and Q4.

Segment (%)	**2021**	**2022**	**2023**
Online Stores	12.53	-0.93	5.39
Physical Stores	5.25	11.06	5.63
Third-Party Seller Services	28.51	13.88	18.98
Subscription Services	26.03	10.86	14.17
Advertising Services	152.68	21.11	24.29
AWS	37.10	28.77	13.31
Other	-76.21	95.17	16.74
Total Revenue (%)	21.7	9.4	11.8
Net Income (%)	7.1	-0.5	5.3

Table 4: Growth Rates by Revenue Segment

Also, after the pandemic, the physical stores faced steady growth over the years. The same trend is followed by the number of customers with Prime subscriptions. After discussing about the steady and cyclical growth variables, we have to mention some less predictable trends. These last years have been seen an exponential increase in the AI-based technologies and geopolitcs contrasts, affecting mostly the semiconductor supply chain.

3 Estimates

3.1 2024 and 2025

As of 2023, the economic forecast reflects steady growth after the fast recovery post-pandemic. The monetary policy should be more restrictive and the consequence will be a moderate growth of the USA GDP, and a stable value of the unemployment rate. Based on the announcements of the Federal Reserve, we expect a decreasing trend from 4.4% in 2024 to 3.4% in 2026, and the inflation to the values as shown in Table 7.

Indicator (%)	**2024**	**2025**
USA GDP Growth	2.7	2.0
Unemployment Rate	4.4	4.4
PCE Inflation	2.6	2.1
Fed Funds Rate	4.4	3.4

Table 5: Macroeconomic Projections - 2024 2025

The forecasting model is based on quarterly comparisons over the years. This is mostly due because of the cyclical behavior of the company. Also, the corporate assumptions were considered in combination with the macroeconomic events, and we can observe a stable growth for Online and Physical Stores, while the other segments will increase their revenue more rapidly.

Segment (%)	**Mar-24**	**Jun-24**	**Sep-24**	**Dec-24**	**2024**
Online Stores	2.0	2.0	7.0	8.0	5.1
Physical Stores	4.0	4.0	6.0	6.0	5.0
Third-Party Seller Services	10.0	10.0	15.0	15.0	12.8
Subscription Services	10.0	10.0	14.0	12.0	11.5
Advertising Services	18.0	18.0	20.0	20.0	19.1
AWS	15.0	18.0	20.0	20.0	18.3
Other	5.0	5.0	5.0	5.0	5.0
Total Revenue (%)					10.6
Net Income (%)	5.0	7.0	9.0	8.0	7.4

Table 6: Estimates for Revenue and Net Income - 2024

Segment (%)	**Mar-25**	**Jun-25**	**Sep-25**	**Dec-25**	**2025**
Online Stores	5.0	5.0	5.0	5.0	5.9
Physical Stores	5.0	5.0	5.0	5.0	5.1
Third-Party Seller Services	10.0	10.0	10.0	10.0	9.9
Subscription Services	10.0	10.0	10.0	10.0	9.3
Advertising Services	18.0	18.0	18.0	18.0	19.1
AWS	18.0	18.0	18.0	18.0	18.0
Other	5.0	5.0	5.0	5.0	6.2
Total Revenue (%)					10.3
Net Income (%)	8	8	8	8	8

Table 7: Estimates for Revenue and Net Income - 2025

3.2 Overview for 2026, 2027, and 2028

The long-term macroeconomics projection is based on Federal Reserve Bank publications, longer-run projections expected to each variable to converge under appropriate monetary policy and in the absence of further shocks to the economy.

Indicator (%)	**2026**	**2027**	**2028**
USA GDP Growth	2.0	2.0	1.8
Unemployment Rate (USA)	4.3	4.2	4.2
PCE Inflation (USA)	2.0	2.0	2.0
Fed Funds Rate	2.9	2.9	2.9

Table 8: Macroeconomic Projections - 2026 2027 2028

Following the macroeconomic variables, for the long-term corporate growth, the estimates are at a more stable pace. However, Amazon will continue to lead the industry in new investments and innovation products, growing not only in their core business but also creating new lines of business. Estimations of Revenue and Net Income growth represent the company strategic resilience and capacity to explore market opportunities

Segment (%)	**2026**	**2027**	**2028**
Online Stores	5.0	5.0	5.0
Physical Stores	5.0	5.0	5.0
Third-Party Seller Services	10.0	10.0	10.0
Subscription Services	10.0	10.0	10.0
Advertising Services	15.0	15.0	15.0
AWS	15.0	15.0	15.0
Other	5.0	5.0	5.0
Total Revenue (%)	9.3	9.5	9.6
Net Income (%)	8	7.6	7.6

Table 9: Estimates for Revenue and Net Income - 2026 2027 2028

4 Amazon Forecast Analysis

Forecast (b$)	2021	2022	2023	Mar-24	Jun-24	Sep-24	Dec-24
Net Sales Min	446,000	493,000	546,000	138,000	144,000	154,000	181,500
Net Sales Max	474,000	516,000	569,000	143,500	149,000	158,500	188,500
Operating Income Min	10,000	2,000	14,500	8,000	10,000	11,500	16,000
Operating Income Max	23,500	16,500	29,000	12,000	14,000	15,000	20,000
Realized (b$)							
Net Sales	469,822	513,983	574,785	143,313	147,977	158,877	-
Operating Income	24,879	12,248	36,852	15,307	14,672	17,411	-

Table 10: Forecast and Realized Net Sales and Operating Income

The Amazon forecasting method consists on predicting conservative and optimistic scenarios for Net Sales and Operating Income. As we can see in the Guidance section of the Quarter Release, Amazon takes into account many factors such as "fluctuations in foreign exchange rates, changes in global economic and geopolitical conditions and customer demand and spending (including the impact of recessionary fears), inflation, interest rates, regional labor market constraints, world events, the rate of growth of the internet, online commerce, cloud services, and new and emerging technologies". The

Differences	2021	2022	2023	Mar-24	Jun-24	Sep-24	Dec-24
Net Sales	9,822	9,483	17,285	2,563	1,477	2,627	-
Net Sales %	2.14%	1.88%	3.10%	1.82%	1.01%	1.68%	-
Operating Income	8,129	2,998	15,102	5,307	2,672	4,161	-
Operating Income %	48.53%	32.41%	69.43%	53.07%	22.27%	31.40%	-

Table 11: Differences between Forecasted and Actual Results

Table 11 highlights the accuracy on forecasting Net Sales and Operating Income. While the average error in Net Sales is about 2.3%, Operating Income is more difficult to predict due to the variability of the operational costs, such as R&D, COGS, fulfillment costs, logistic costs, and so on.

5 Valuation

	2023	2024	2025	2026	2027	2028
EBIT	37,790	62,896	75,045	81,289	84,809	92,991
Tax Rate		21%	21%	21%	21%	21%
EBIT * (1 - Tax Rate)		49,688	59,286	64,219	66,999	73,463
Depreciation		52,478	58,149	76,688	88,168	101,278
Purchases of PP&E		-73,953	-84,163	-92,026	-100,763	-110,485
Chg. Working Capital		19,909	44,429	48,820	53,644	58,946
Free Cash Flow to Firm		48,122	77,701	97,701	108,048	123,202
Terminal Value						3,301,750
WACC		3.50%	13.98%	13.98%	13.98%	13.98%
Cumulative WACC		103.50%	117.97%	134.46%	153.26%	174.69%
PV of FCFF		46,496	65,867	72,661	70,499	1,960,562

Table 12: Discount Cashflow Analysis

For the valuation analysis for Amazon the discounted cash flow (DCF) method has been utilized, the estimation used the following inputs:
- Cost of Capital of 14.34%: CAPM model considered a risk-free rate of 4.63% (actual Fed Rate: 4.50% - 4.75%), a Beta of 1.16 (market average) and expected return of the market of 13.00% (NASDAQ historic average year growth)
- Cost of Debt of 3.76%: following Amazon 10-k cost of issued debt
- Tax Rate of 21%: corporate tax rate in the United States of America
- Growth Rate of 9.88%: average revenue growth for the next 5 years.

Utilizing those inputs the weighted average cost of capital (WACC) is 13.98% and is utilized as the discount rate for the futures cash flows and terminal value of Amazon.

Description	Value
Value of Firm	2,216,085
+ Value of Cash	88,051
- Value of Debt	79,291
Value of Equity	2,224,845
Shares Outstanding	10,735
Value of Equity per Share	207.25
Over (Under) Valued	-8.88%

Table 13: Valuation Analysis

The sum of the present value of the firm's free cash flows with the current cash, less the current debts will be the calculated fair value of the company equity. Dividing this value for the number of shares outstanding, the value of equity per share is reached. Amazon.com Inc (AMZN) stock closing price in Dec-13 2024 is USD$ 227.46, about 9% overvalued comparing to the discount cash flow method (DCF)

6 Conclusions

This report shows how difficult is to predict the financial performance of a company, especially when involved in a global context, with more core businesses, and with high-level competitors. Also, macroeconomic events and geopolitical contrasts produce uncertainty for what concerns international trading relationships. The results of the latest US elections have stimulated markets to rise, suggesting a feeling of optimism towards the next administration. Amazon could potentially benefit from proposed policy changes through corporate tax rate reductions, which would directly improve its financial performance, along with possible regulatory simplifications that could lower compliance costs. Potential infrastructure investment programs might enhance logistics networks, while incentives for technology and cloud computing could provide strategic advantages for AWS. While we can expect a reduction in taxes in the United States, we must take into account the price fluctuations for the possible tariffs that will be applied to imported products. This means a dramatic increase in supply costs, especially for raw materials related to the development of AI-based technologies. Amazon has a competitive advantage over its competitors, because thanks to the development of proprietary tools, it can directly purchase raw materials, thus reducing the costs of finished products. To obtain a more efficient forecast, Amazon could invest in the development of specific software for this purpose, and customize it based on the business units. Considering the high costs required to develop, maintain, and improve this type of tool, we suggest focusing on the three main business units: Retail, AWS, and Advertising. In this way, it is possible to increase the accuracy and precision of forecasts, because it will be possible to create prediction models with specific parameters for each segment, and for each need.

Appendix

Income Statement	**2024E**	**2025E**	**2026E**	**2027E**	**2028E**
Revenue	638,043	701,357	766,882	839,695	920,708
Cost of Goods Sold	326,969	364,705	391,110	419,848	451,147
Gross Profit	311,074	336,651	375,772	419,848	469,561
Selling, General, and Admin. Expenses	245,836	263,009	296,016	336,718	378,411
Operating Income	65,238	73,642	79,756	83,130	91,150
Net Interest Expense	1,689	2,104	2,301	2,519	2,762
Income Tax Expense	10,570	15,023	16,266	16,928	18,561
After-tax items	-81	0	0	0	0
Net Income	52,899	56,515	61,189	63,682	69,826
Weighted Avg Diluted Shares Outstanding	10,718	10,835	10,955	11,075	11,195
Diluted Earnings Per Share (GAAP)	4.94	5.22	5.59	5.75	6.24

Table 14: Income Statement Forecast

Balance Sheet	**2024E**	**2025E**	**2026E**	**2027E**	**2028E**
Cash & Equivalents	99,207	134,795	178,920	225,059	277,519
Inventories	37,042	40,253	41,058	41,879	42,716
Accounts Receivable, Net & Other	62,143	73,904	87,892	104,527	124,311
PP&E	239,988	260,543	269,876	275,867	277,809
Operating Leases	78,425	84,819	91,735	99,214	107,303
Goodwill	22,910	22,944	22,941	22,943	22,943
Other Assets	74,101	80,026	86,425	93,335	100,798
Total Assets	613,815	697,284	778,846	862,824	953,398
Accounts Payable	87,416	89,850	92,285	94,720	97,154
Accrued Expenses & Other	66,499	68,289	70,079	71,869	73,659
Unearned Revenue	17,134	19,041	20,948	22,855	24,762
Long-Term Lease Liabilities	81,208	85,119	89,030	92,941	96,852
Long-Term Debt	56,955	66,019	68,503	71,079	73,753
Other Long-Term Liabilities	33,050	40,649	48,248	55,847	63,446
Total Liabilities	342,261	368,968	389,092	409,311	429,626
Shareholder's Equity	271,554	328,317	389,753	453,513	523,772
Total Equity	271,554	328,317	389,753	453,513	523,772

Table 15: Balance Sheet Forecast

Statement of Cash Flows	**2024E**	**2025E**	**2026E**	**2027E**	**2028E**
Cash Flow from Operations (CFO)	101,507	121,558	142,658	151,773	165,748
Cash Flow from Investing	-71,440	-81,399	-88,986	-97,419	-106,806
Cash Flow from Financing	-11,987	-13,186	-14,505	-15,955	-17,551
Foreign Exchange Impact	-68	0	0	0	0
Cash Balance, Beginning of Period	73,890	91,901	118,874	158,042	196,441
Change in Cash	18,011	26,973	39,168	38,399	41,391
Cash Balance, Ending of Period	91,901	118,874	158,042	196,441	237,832

Table 16: Statement of Cash Flows Forecast